

MODEL TEST PAPER 2
INTERMEDIATE GROUP – II

PAPER – 6A : FINANCIAL MANAGEMENT & STRATEGIC MANAGEMENT

PAPER 6A: FINANCIAL MANAGEMENT

Time Allowed – 3 Hours (Total time for 6A and 6B) Maximum Marks – 50

1. *The question paper comprises two parts, Part I and Part II.*
2. *Part I comprises Case Scenario based Multiple Choice Questions (MCQs)*
3. *Part II comprises questions which require descriptive type answers.*
4. *Working note should form part of the answer. Wherever necessary, suitable assumptions may be made by the candidates and disclosed by way of note. However, in answers to Questions in Division A, working notes are not required.*

PART I – Case Scenario based MCQs (15 Marks)

Write the most appropriate answer to each of the following multiple choice questions by choosing one of the four options given. All questions are compulsory.

1. Tiago Ltd is an all-equity company engaged in manufacturing of batteries for electric vehicles. There has been a surge in demand for their products due to rising oil prices. The company was established 5 years ago with an initial capital of ₹ 10,00,000 and since then it has raised funds by IPO taking the total paid up capital to ₹ 1 crore comprising of fully paid-up equity shares of face value ₹ 10 each. The company currently has undistributed reserves of ₹ 60,00,000. The company has been following constant dividend payout policy of 40% of earnings. The retained earnings by company are going to provide a return on equity of 20%. The current EPS is estimated as Rs 20 and prevailing PE ratio on the share of company is 15x. The company wants to expand its capital base by raising additional funds by way of debt, preference and equity mix. The company requires an additional fund of ₹ 1,20,00,000. The target ratio of owned to borrowed funds is 4:1 post the fund-raising activity. Capital gearing is to be kept at 0.4x.

The existing debt markets are under pressure due to ongoing RBI action on NPAs of the commercial bank. Due to challenges in raising the debt funds, the company will have to offer ₹ 100 face value debentures at an attractive yield of 9.5% and a coupon rate of 8% to the investors. Issue expenses will amount to 4% of the proceeds.

The preference shares will have a face value of ₹ 1000 each offering a dividend rate of 10%. The preference shares will be issued at a premium of 5% and redeemed at a premium of 10% after 10 years at the same time at which debentures will be redeemed.

The CFO of the company is evaluating a new battery technology to invest the above raised money. The technology is expected to have a life of 7 years. It

will generate a after tax marginal operating cash flow of ₹ 25,00,000 p.a. Assume marginal tax rate to be 27%.

1. Which of the following is best estimate of cost of equity for Tiago Ltd?
 - (a) 12.99%
 - (b) 11.99%
 - (c) 13.99%
 - (d) 14.99%
 2. Which of the following is the most accurate measure of issue price of debentures?
 - (a) 100
 - (b) 96
 - (c) 90.58
 - (d) 95.88
 3. Which of the following is the best estimate of cost of debentures to be issued by the company? (Using approximation method)
 - (a) 7.64%
 - (b) 6.74%
 - (c) 4.64%
 - (d) 5.78%
 4. Calculate the cost of preference shares using approximation method
 - (a) 10.23%
 - (b) 9.77%
 - (c) 12.12%
 - (d) 12.22%
 5. Which of the following best represents the overall cost of marginal capital to be raised?
 - (a) 10.52%
 - (b) 17.16%
 - (c) 16.17%
 - (d) 16.71%
- (5 x 2 = 10 Marks)**
2. Ranu & Co. has issued 10% debenture of face value 100 for ₹ 10 lakh. The debenture is expected to be sold at 5% discount. It will also involve floatation costs of ₹ 10 per debenture. The debentures are redeemable at a premium of 10% after 10 years. Calculate the cost of debenture if the tax rate is 30%.
 - (a) 9.74%
 - (b) 9.56%

- (c) 8.25%
- (d) 10.12% **(2 Marks)**
3. Given Data: Sales is ₹ 10,00,000, Break even sales is ₹ 6,00,000.
What is the Degree of operating leverage?
- (a) 3
- (b) 2
- (c) 2.5
- (d) 2.2 **(2 Marks)**
4. A project requires an initial investment of ₹ 20,000 and it would give annual cash inflow of ₹ 4,000. The useful life of the project is estimated to be 10 years. What is payback reciprocal/Approximated IRR?
- (a) 20%
- (b) 15%
- (c) 25%
- (d) 12% **(1 Mark)**

PART II – Descriptive Questions (35 Marks)

Question No. 1 is compulsory.

*Attempt any **two** questions out of the remaining **three** questions.*

1. (a) The below information for Lever Ltd is provided on annual basis:

	₹
Sales at 3 months credit	48,00,000
Materials consumed (suppliers extend 2 months credit)	12,00,000
Wages paid (one month lag in payment)	9,60,000
Cash manufacturing expenses (paid on month in arrear)	12,00,000
Administrative expense (one month lag in payment)	3,60,000
Sales promotion expense (paid monthly in advance)	1,20,000

The Company sells its products at a gross profit of 20%.

The Company keeps two months stock of raw materials and two months stock of finished goods.

Depreciation is considered as a part of cost of production.

Cash balance is retained at ₹ 1,00,000,

Assuming a 15% margin, COMPUTE the working capital requirements of the Company on cash cost basis. Ignore work-in progress.

(5 Marks)

- (b) SOC Ltd has 10 lakh equity shares outstanding at the beginning of the accounting year 2024. The existing market price per share is Rs 600. Expected dividend is Rs 40 per share. The rate of capitalization appropriate to the risk class to which the company belongs is 20%.
- CALCULATE the market price per share by the end of the year when expected dividends are: (a) declared, and (b) not declared, based on the Miller – Modigliani approach.
 - CALCULATE the number of shares to be issued by the company at the end of the accounting year on the assumption that the net income for the year is Rs 15 crore; investment budget is Rs 20 crores, when (a) Dividends are declared, and (b) Dividends are not declared.
 - PROVE that the market value of the shares at the end of the accounting year will remain unchanged irrespective of whether (a) Dividends are declared, or (ii) Dividends are not declared.

(5 Marks)

- (c) An existing profitable company, RMC World Ltd. is considering a new project for manufacture of home automation gadget involving a capital expenditure of ₹ 1000 Lakhs and working capital of ₹ 150 Lakhs. The capacity of the plants for an annual production of 3 lakh units and capacity utilization during 5 year life of the project is expected to be as indicated below:

Year	1	2	3	4	5
Capacity Utilization (%)	50	65	80	100	100

The average price per unit of product is expected to be ₹600 netting a contribution of 60 percent. The annual fixed costs, excluding depreciation, are estimated to be ₹500 Lakhs per annum from the third year onwards. For the first and second year, it would be ₹ 200 lakhs and ₹ 350 lakhs respectively.

Scrap value of the capital asset at the end of 5th year is ₹ 200 Lakhs. Depreciation on capital asset is provided on written down value basis @ 40% p.a. for income tax purpose. The rate of income tax may be taken at 30%. The cost of capital is 12%. At end of the third year an additional investment of ₹ 200 lakhs would be required for working capital. There is no capital gain tax applicable.

COMPUTE the NPV of the project. RMC World Ltd. is about to make a presentation to Secure Venture Capital Firm. Secure Venture Capital Firms will invest in any project if the net addition to shareholder wealth from the project is above ₹ 100 lakhs.

(5 Marks)

2. (a) From the following PREPARE Income statement of company P and Q.

	P	Q
No. of Equity Shares	1,00,000	70,000
Financial leverage	3 : 1	4 : 1
Operating Leverage	2 : 1	3 : 1
Variable cost to sales	67%	50%
Interest	₹ 5,50,000	₹ 6,00,000
Income tax rate	30%	30%

Also CALCULATE EPS of the company.

(4 Marks)

- (b) The GT Limited is willing to expand its business for which it requires an additional finance of ₹ 50,00,000. At present, the capital structure of the company is as under:

- 7,00,000 Equity shares of ₹ 10 each
- 10% Debentures ₹ 63,00,000
- 12% Term loan ₹ 54,00,000
- Retained earnings ₹ 1,30,00,000

At present, the company's EBIT is ₹ 54,00,000. However, the company, after expansion, expects ROI 2% greater than the present ROI, Income Tax Rate is 30%.

Following two options, for getting additional finance, are available-

- (a) To raise funds as term loan @ 12%
- (b) To raise funds by issuing 1,00,000 equity shares at ₹ 20 per share and balance by issuing 11% debentures at par.

Required:

- (i) FIND out the market price of shares, if the P/E ratio is 10.
- (ii) RECOMMEND the suitable option of raising funds with reason.

(6 Marks)

3. (a) EOC Ltd is a listed company and has presented the below abridged financial statements below.

Statement of Profit and Loss	₹	₹
Sales		1,25,00,000
Cost of goods sold		(76,40,000)
Gross Profit		48,60,000
Less: Operating Expenses		
Administrative Expenses	13,20,000	
Selling and Distribution Expenses	15,90,000	(29,10,000)

Operating Profit		19,50,000
Add: Non Operating Income		3,28,000
Less: Non Operating Expenses		(1,27,000)
Profit before Interest and taxes		21,51,000
Less: Interest		(4,39,000)
Profit before tax		17,12,000
Less: Taxes		(4,28,000)
Profit after Tax		12,84,000

Balance Sheet

Sources of Funds	₹	₹
Owned Funds		
Equity Share Capital	30,00,000	
Reserves and Surplus	18,00,000	48,00,000
Borrowed Funds		
Secured Loan	10,00,000	
Unsecured Loan	4,30,000	14,30,000
Total Funds Raised		62,30,000
Application of Funds		
Non-Current Assets		
Building	7,50,000	
Machinery	2,30,000	
Furniture	7,60,000	
Intangible Assets	50,000	17,90,000
Current Assets		
Inventory	38,60,000	
Receivables	39,97,000	
ST investments	3,00,000	
Cash and Bank	2,30,000	83,87,000
Less: Current Liabilities		
Creditors	25,67,000	
ST loans	13,80,000	(39,47,000)
Total Funds Employed		62,30,000

The company has set certain standards for the upcoming year financial status.

All the ratios are based on closing figures in financial statements.

Equity SC to Reserves=	1	
Net Profit Ratio=	15%	
Gross Profit Ratio=	50%	
Long Term Debt to Equity=	0.5	
Debtor Turnover=	100	Days
Creditor Turnover (based on COGS)=	100	Days
Inventory=	70%	of Opening inventory

Cash Balance is assumed to remain same for next year

You are required to -

- (1) CALCULATE inventory turnover ratio in days for current year
 - (2) CALCULATE receivables turnover ratio in days for current year
 - (3) CALCULATE the projected receivables, inventory, payables and long term debt **(8 Marks)**
 - (b) NAME the various financial instruments dealt with in the International market. **(2 Marks)**
 4. (a) WRITE short notes on Inter relationship between investment, financing and dividend decisions. **(4 Marks)**
 - (b) DISCUSS the liquidity vs. profitability issue in management of working capital. **(4 Marks)**
 - (c) EXPLAIN the concept of discounted payback period. **(2 Marks)**
- OR**
- (c) EXPLAIN the concept of Indian depository receipts. **(2 Marks)**